

25STCP03898 25STCP03898

County: los-angeles

Division: Civil Law and Motion

Department: 833

Hearing date: 2026-07-01

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Case Number: 25STCP03898 Hearing Date: July 1, 2026 Dept: 833

SUPERIOR COURT OF CALIFORNIA

COUNTY OF LOS ANGELES

DEPARTMENT 833

TENTATIVE

RULING

COUNTY OF SANTA CRUZ HEALTH AGENCY,

Petitioner,

v.

CALIFORNIA DEPARTMENT OF HEALTH

CARE SERVICES, et al.,

Respondents.

Case No:

25STCP03898

Hearing Date: July 3, 2026

Calendar Number: 9

Petitioner County of Santa Cruz Health Agency petitions the

Court for a writ of mandate to set aside and reverse an audit adjustment by respondents Department of Health Care Services and its Director, Michele Baass, which reduced Petitioner's Mental Health Plan program's entitlement to federal funds.

The Court does not issue a tentative but will hear argument.

Tentatively, the Court understands that the correct analysis of the issue in this case to be as follows:

1.

The parties agree that "[t]here are three federal awards or cost objectives [at issue] in this case:" (1) an "actual direct services award"; (2) a "mental health services quality [assurance award]; and an "administrative costs [award]." (Respondents' Opp. at p. 6:4-6, citing 1 HT 43:11-20.)

2.

Before assigning or allocating costs by objective, a decision must initially be made as to whether a cost is "direct" or "indirect." (10 AR 8501 [2 C.F.R. § 200.413]; 10 AR 8494 [2 C.F.R. § 200.1].)

3.

If the cost is direct, it must be assigned to the objective it specifically benefits. (See Petitioner's Opening Br. at p. 10:23-24.)

4.

If the cost is indirect, it must be "equitably" allocated across all three categories. (See Petitioner's Opening Br. at p. 10:5-6, citing 10 AR 008411.)

The Court asks the parties to address the following at the hearing:

A.

Do the parties agree with the analytic framework set forth above?

B.

Did the ALJ follow this framework?

C.

How should a “multi-benefit” cost be treated?

a.

May it be treated as direct and wholly assigned to a single primary objective?

b.

May it be treated as direct but still apportioned among the multiple objectives benefitted?

c.

May it be treated as indirect and equitably allocated across all objectives?

D.

If the Court grants the writ, what instructions should the Court provide to the ALJ on remand?